

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
MASTER OF BUSINESS ADMINISTRATION (MBA)
POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)
SEMESTER-II-UNIVERSITY EXAMINATION, MAY 2018
MB745.2 FINANCIAL MANAGEMENT (OLD)
MB745.3 FINANCIAL MANAGEMENT (NEW)

Date: 26/05/2018, Saturday

Time: 10:00 AM to 01:00 PM

Maximum Marks: 70

Instructions:

1. This paper contains six questions.
2. All questions are compulsory.
3. The first five questions carry 10 marks. The last question carries 20 marks.

- Q.1 A Define the relationship between real rate, nominal rate and inflation rate. Also explain risk free rate in detail. 05 10
- B Suppose that you have earned a cash bonus for an outstanding performance at your job during the last month. Your pleased boss gives you 2 options to choose from: 05
- Option A: Receive Rs. 10,000 bonus now
- Option B: Receive Rs. 10,800 bonus after one year
- Interest rate on bank deposits is 12% per annum
- Which option would you choose? Take decision based on present value calculation only.
- Q.2 A What is cost of capital? Discuss the methods to calculate the cost of equity? “Generally cost of equity is higher than cost of debt” agree with the sentence? Justify your views. 05 10
- B The management of Fine Electronics Company is considering to purchase an equipment to be attached with the main manufacturing machine. The equipment will cost Rs. 6,000 and will increase annual cash inflow by Rs. 2,200. The useful life of the equipment is 6 years. After 6 years it will have no salvage value. The management wants a 20% return on all investments. 05
- a) Compute net present value (NPV) of this investment project.
- b) Should the equipment be purchased according to NPV analysis?
- $[(FVIF_{20\%,6Yr}) = 2.986, (FVIFA_{20\%,6Yr}) = 9.930, (PVIF_{20\%,6Yr}) = 0.335, (PVIFA_{20\%,6Yr}) = 3.326]$
- Q.3 Explain the concept of operating leverage by taking example of any small sized enterprise or a Kulffi selling hawker at funfair. 10
- Q.4 A Discuss the relationship between coupon rate, required rate and price of the bond. 05 10
- B Briefly discuss the behavior of inventory related cost (carrying cost and ordering cost) with related to quantity ordered. (Indicate through graph diagram). 05

- Q.5 A In recent past ABC Ltd's shares rose 10.50% in the past three trading sessions. The excitement was partly driven by the company's announcement that it will consider a buy-back of shares. In fiscal 2016, company had increased its dividend payout to 41% of net profit, compared with an average of around 29% in the preceding five years. It had said at the time that the increase in payout was after considering liquidity needs and strategic requirements. With the buy-back announcement, the company is signalling that it is comfortable returning a greater proportion of its earnings back to shareholders. It was a positive signal. High cash balances are a drag on overall return ratios. Besides, in this company's case, it is imperative that the company focuses on setting core operations right before attempting any ambitious mergers or acquisitions. Why company would have bought back its shares? List the probable reasons for buyback? 05 10
- B Calculate standard deviation of returns of 7.0%, 3.0%, -9.0%, and 6.0% and 10% of a single security. 05
- Q.6 A Following information is available for for Kavita Musicals. 06 20
- | | |
|---|------------|
| Earnings per share | Rs. 5.00 |
| Rate of return required by shareholders | 16 percent |
- Assuming the Gordon valuation model holds, what rate of return should be earned on investment to ensure that the market price is Rs. 50 when the dividend payout is 40 percent?
- B The stock of the firms A and B are considered to be equally risky. Investors expect the share of the firm A – the firm which does not plan to pay dividend – to be worth Rs. 180 next year. From the share of firm B, too, investors expect a pay-off of Rs. 180 – Rs. 15 by way of dividend and Rs. 165 by way of share price a year from now. Dividends are taxed at 20 percent and capital gains at 10 percent. Each of them offers ad expected post-tax rate of 10 percent? Assume that the radical position applies.
- a) What will be current price of the shares of A? 07
- b) What will be current price of the shares of B? 07